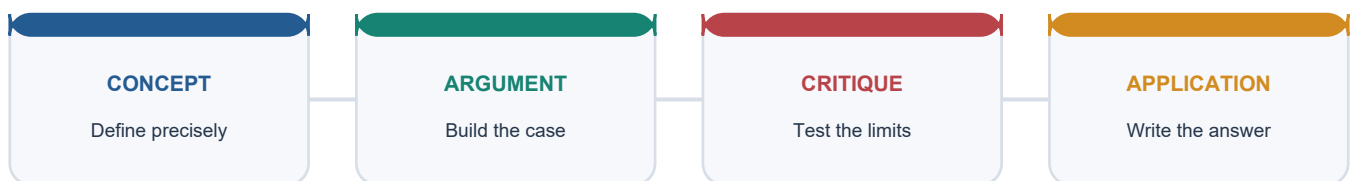


SOLVED PRACTICE WORKBOOK

Poverty, Inequality, Social Sector and Inclusive Growth - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Poverty, Inequality, Social Sector and Inclusive Growth - Solved Practice Workbook

Exactly 32 original questions appear before PYQs. Correct answers rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Which statement best distinguishes poverty from inequality?

A. Poverty concerns a threshold shortfall; inequality concerns dispersion across the distribution B. Both are measured only by the Gini coefficient C. Inequality exists only below a poverty line D. Poverty necessarily falls whenever inequality falls

Answer: A.

Option-wise explanation:

- **A - Correct:** the concepts answer different questions and can move differently.
- **B - Incorrect:** Gini measures distribution, not poverty incidence or depth.
- **C - Incorrect:** inequality can exist among households above or below any line.
- **D - Incorrect:** distribution can narrow without moving everyone above a minimum.

Examiner trap 1: Do not substitute an inequality statistic for a poverty measure.

MCQ 2

Relative poverty is best understood as:

A. A fixed calorie norm unchanged across time B. Deprivation assessed against prevailing distribution or social standards C. A temporary fall below an absolute line D. Only multidimensional deprivation

Answer: B.

Option-wise explanation:

- **A - Incorrect:** that describes one possible absolute-line anchor.
- **B - Correct:** relative poverty depends on position within contemporary society.
- **C - Incorrect:** duration and relativity are separate classifications.
- **D - Incorrect:** relative poverty can be measured monetarily or socially.

Examiner trap 2: Relative does not mean temporary.

MCQ 3

Which evidence is required to classify poverty as chronic rather than transient?

A. One cross-sectional headcount estimate B. A higher urban than rural line C. Repeated or panel evidence of persistence D. A Gini coefficient above zero

Answer: C.

Option-wise explanation:

- **A - Incorrect:** one observation cannot establish duration.
- **B - Incorrect:** spatial line variation says nothing about persistence.
- **C - Correct:** chronic poverty requires evidence across time.
- **D - Incorrect:** inequality can exist without chronic poverty classification.

Examiner trap 3: Duration needs longitudinal evidence.

MCQ 4

A poverty line is:

A. A wealth-distribution curve B. A tax exemption limit C. A universal biological constant D. A stated threshold applied to a specified welfare aggregate

Answer: D.

Option-wise explanation:

- **A - Incorrect:** wealth distribution is an inequality concept.
- **B - Incorrect:** tax liability and poverty measurement have different purposes.
- **C - Incorrect:** real needs, prices and methodology must be specified.
- **D - Correct:** line and welfare aggregate jointly define the classification.

Examiner trap 4: Always name welfare concept, prices, survey and year.

MCQ 5

The poverty headcount ratio measures:

A. The share of the relevant population below the line B. Average shortfall among the poor only C. Inequality among the poor D. Future probability of becoming poor

Answer: A.

Option-wise explanation:

- **A - Correct:** HCR measures incidence relative to the full population.
- **B - Incorrect:** poverty-gap construction captures shortfall.
- **C - Incorrect:** squared-gap measures are more sensitive to severity.
- **D - Incorrect:** that concerns vulnerability, not observed incidence.

Examiner trap 5: Headcount ignores distance below the line.

MCQ 6

Compared with headcount, the poverty gap adds information about:

A. Survey sample size B. Depth of shortfall below the line C. Top-income concentration D. The number of MPI indicators

Answer: B.

Option-wise explanation:

- **A - Incorrect:** sampling precision is separate.
- **B - Correct:** it averages normalised shortfalls.
- **C - Incorrect:** top concentration is an inequality question.
- **D - Incorrect:** MPI architecture is distinct.

Examiner trap 6: Equal headcounts can hide unequal poverty depth.

MCQ 7

Why is the squared poverty gap called a severity measure?

A. It counts every poor person twice B. It uses two poverty lines C. It gives larger shortfalls disproportionately greater weight D. It converts consumption into wealth

Answer: C.

Option-wise explanation:

- **A - Incorrect:** squaring applies to gaps, not persons.
- **B - Incorrect:** one specified line remains.

- **C - Correct:** deep shortfalls contribute more after squaring.
- **D - Incorrect:** the welfare aggregate is unchanged.

Examiner trap 7: Severity here remains monetary and line-dependent.

MCQ 8

Which chronology is correct?

A. Tendulkar -> Alagh -> Lakdawala -> Rangarajan B. Rangarajan -> Lakdawala -> Alagh -> Tendulkar C. Lakdawala -> 1962 Working Group -> Rangarajan -> Alagh D. 1962 Working Group -> Alagh -> Lakdawala -> Tendulkar -> Rangarajan

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Tendulkar came after Lakdawala.
- **B - Incorrect:** Rangarajan was the latest named committee.
- **C - Incorrect:** the Working Group predates Lakdawala.
- **D - Correct:** this is the standard methodological sequence.

Examiner trap 8: Report date and adoption status must remain separate.

MCQ 9

The Lakdawala approach is associated with:

A. State-specific price-adjusted poverty lines linked to calorie-norm baskets B. A 12-indicator national MPI C. The 2021-PPP international line D. A universal pension

Answer: A.

Option-wise explanation:

- **A - Correct:** state price variation and calorie-linked historical baskets are central.
- **B - Incorrect:** that is NITI's national MPI.
- **C - Incorrect:** that is a World Bank framework.
- **D - Incorrect:** pensions are social protection, not poverty-line methodology.

Examiner trap 9: Lakdawala did not impose one nominal line on all states.

MCQ 10

Under the Tendulkar methodology, the reported all-India HCR for 2011-12 was:

A. 29.5 per cent B. 21.9 per cent C. 14.96 per cent D. 5.3 per cent

Answer: B.

Option-wise explanation:

- **A - Incorrect:** 29.5 per cent is Rangarajan's estimate for the same year.
- **B - Correct:** Planning Commission reported 21.9 per cent.
- **C - Incorrect:** 14.96 per cent is NITI MPI incidence for 2019-21.
- **D - Incorrect:** 5.3 per cent is a World Bank 2022-23 estimate at USD 3.00.

Examiner trap 10: Attach 21.9 per cent to Tendulkar and 2011-12.

MCQ 11

Which Rangarajan statement is accurate?

A. It became India's permanent statutory poverty line B. It used the same thresholds as Tendulkar C. It proposed Rs 972 rural and Rs 1,407 urban monthly per capita for 2011-12 D. It measured only multidimensional poverty

Answer: C.

Option-wise explanation:

- **A - Incorrect:** the recommendation was not a timeless statutory line.
- **B - Incorrect:** Rangarajan produced higher thresholds.
- **C - Correct:** these are the committee's 2011-12 values.
- **D - Incorrect:** it was a monetary-consumption approach.

Examiner trap 11: A committee recommendation is not automatic current adoption.

MCQ 12

Which is the safest statement about India's current domestic monetary poverty line?

A. The World Bank USD 3 line is India's statutory line B. Rangarajan automatically replaced all earlier methods C. HCES average MPCE itself is the line D. No single newly adopted line should be asserted; every estimate must be attributed

Answer: D.

Option-wise explanation:

- **A - Incorrect:** international monitoring and domestic adoption differ.
- **B - Incorrect:** no such automatic permanent replacement occurred.
- **C - Incorrect:** an average is not a threshold.
- **D - Correct:** method, year and publisher are essential.

Examiner trap 12: Latest estimate is not a newly notified domestic line.

MCQ 13

HCES primarily measures:

A. Household consumption expenditure B. Household net wealth C. Corporate income D. Government capital spending

Answer: A.

Option-wise explanation:

- **A - Correct:** HCES provides consumption and MPCE distributions.
- **B - Incorrect:** wealth requires asset and liability evidence.
- **C - Incorrect:** corporate accounts are outside HCES.
- **D - Incorrect:** budget data measure government spending.

Examiner trap 13: MPCE is not income or wealth.

MCQ 14

Why must HCES 2022-23 be compared cautiously with 2011-12?

A. Both exclude rural India B. Questionnaires, visits, item coverage and imputation changed C. The rupee ceased to be legal tender D. HCES reports only tax data

Answer: B.

Option-wise explanation:

- **A - Incorrect:** both cover rural and urban India.

- **B - Correct:** redesign can affect measured levels and distribution.
- **C - Incorrect:** currency status is irrelevant.
- **D - Incorrect:** HCES is a household survey.

Examiner trap 14: Official status does not remove a methodology break.

MCQ 15

MoSPI's 2023-24 MPCE without imputation was:

A. Rs 816 rural and Rs 1,000 urban B. Rs 972 rural and Rs 1,407 urban C. Rs 4,122 rural and Rs 6,996 urban D. Rs 4,247 rural and Rs 7,078 urban

Answer: C.

Option-wise explanation:

- **A - Incorrect:** those are Tendulkar's 2011-12 lines.
- **B - Incorrect:** those are Rangarajan's 2011-12 lines.
- **C - Correct:** these are average MPCE values without imputation.
- **D - Incorrect:** those values include imputation for specified free items.

Examiner trap 15: Average MPCE is not a poverty line.

MCQ 16

The World Bank's June 2025 extreme-poverty line is:

A. USD 2.15 at 2017 PPP B. USD 3.65 at 2017 PPP C. USD 4.20 at 2021 PPP D. USD 3.00 at 2021 PPP

Answer: D.

Option-wise explanation:

- **A - Incorrect:** this was the previous extreme line.
- **B - Incorrect:** this was the previous lower-middle-income line.
- **C - Incorrect:** USD 4.20 is the updated lower-middle-income line.
- **D - Correct:** USD 3.00 at 2021 PPP is the updated extreme line.

Examiner trap 16: PPP dollars are not market-exchange-rate dollars.

MCQ 17

World Bank estimates for India in 2022-23 imply:

A. 5.3 per cent below USD 3.00 at 2021 PPP B. 5.3 per cent below every poverty line C. 23.9 per cent below India's statutory line D. No sensitivity to threshold choice

Answer: A.

Option-wise explanation:

- **A - Correct:** this is the dated international estimate.
- **B - Incorrect:** headcount changes with the line.
- **C - Incorrect:** 23.9 per cent uses the World Bank USD 4.20 line.
- **D - Incorrect:** the two reported rates demonstrate sensitivity.

Examiner trap 17: Name line, PPP vintage, year and publisher.

MCQ 18

India's national MPI classifies a household as poor when weighted deprivation reaches:

A. One-half B. At least one-third C. Any single indicator D. Exactly 12 indicators

Answer: B.

Option-wise explanation:

- **A - Incorrect:** the national cutoff is one-third.
- **B - Correct:** the Alkire-Foster identification threshold is at least one-third.
- **C - Incorrect:** one deprivation need not cross the weighted cutoff.
- **D - Incorrect:** 12 is the number of indicators, not required simultaneous deprivations.

Examiner trap 18: Indicator count and weighted cutoff are different.

MCQ 19

Which MPI status pairing is correct?

A. 11.28 per cent is an NFHS-6 observation B. 14.96 per cent is a World Bank monetary rate C. 14.96 per cent is NFHS-5-based 2019-21 incidence; 11.28 per cent for 2022-23 is estimated D. Both are HCES consumption Ginis

Answer: C.

Option-wise explanation:

- **A - Incorrect:** the 11.28 figure is an estimate, not NFHS-6.
- **B - Incorrect:** it is NITI national MPI.
- **C - Correct:** observed and estimated vintages are separated.
- **D - Incorrect:** Gini and MPI are different measures.

Examiner trap 19: Never relabel an estimate as a fresh survey observation.

MCQ 20

Which statement about inequality concepts is correct?

A. Consumption is a stock and wealth a flow B. Opportunity inequality is identical to income inequality C. A consumption Gini proves wealth equality D. Income, consumption, wealth and opportunity answer different distributional questions

Answer: D.

Option-wise explanation:

- **A - Incorrect:** wealth is a stock and income a flow.
- **B - Incorrect:** unequal circumstances can persist at similar observed income.
- **C - Incorrect:** consumption surveys may miss top wealth.
- **D - Correct:** each welfare concept requires its own data and interpretation.

Examiner trap 20: Name the distributed variable beside every inequality measure.

MCQ 21

On a Lorenz diagram, the horizontal axis normally shows:

A. Cumulative population ordered from poorest to richest B. Cumulative income only C. The poverty line D. Time

Answer: A.

Option-wise explanation:

- **A - Correct:** population share is plotted cumulatively.
- **B - Incorrect:** cumulative welfare is on the vertical axis.
- **C - Incorrect:** the line is not an axis.

- **D - Incorrect:** Lorenz is not a time-series graph.

Examiner trap 21: Do not reverse Lorenz axes.

MCQ 22

MoSPI's 2023-24 Gini values 0.237 rural and 0.284 urban measure:

A. Wealth inequality B. Consumption-expenditure inequality C. Income-tax progressivity D. MPI intensity

Answer: B.

Option-wise explanation:

- **A - Incorrect:** HCES does not measure wealth distribution.
- **B - Correct:** the reported Ginis use consumption expenditure.
- **C - Incorrect:** tax incidence is separate.
- **D - Incorrect:** MPI intensity is A, not Gini.

Examiner trap 22: A consumption Gini cannot be relabelled as income or wealth.

MCQ 23

The Palma ratio compares:

A. Bottom 10 per cent with top 40 per cent population B. Median income with mean income C. Top 10 per cent income share with bottom 40 per cent share D. Rural poverty with urban poverty

Answer: C.

Option-wise explanation:

- **A - Incorrect:** the groups are reversed and shares concern income.
- **B - Incorrect:** that is not Palma.
- **C - Correct:** Palma focuses on distributional tails.
- **D - Incorrect:** spatial poverty comparison is different.

Examiner trap 23: Palma compares shares, not headcounts.

MCQ 24

The Kuznets curve should be treated as:

A. A guaranteed law that inequality self-corrects B. A poverty-line formula C. A reason to avoid redistribution D. A qualified inverted-U hypothesis shaped by institutions

Answer: D.

Option-wise explanation:

- **A - Incorrect:** country paths differ.
- **B - Incorrect:** it does not classify poverty.
- **C - Incorrect:** policy affects the trajectory.
- **D - Correct:** it is a contingent historical hypothesis.

Examiner trap 24: Do not turn a hypothesis into inevitability.

MCQ 25

The growth-poverty-inequality triangle implies that:

A. The poverty effect of growth depends on distribution and sectoral transmission B. GDP growth mechanically eliminates poverty C. Only redistribution matters D. Initial inequality has no effect

Answer: A.

Option-wise explanation:

- **A - Correct:** jobs, wages, prices, assets and distribution mediate growth.
- **B - Incorrect:** aggregate growth can be concentrated.
- **C - Incorrect:** productive growth also matters.
- **D - Incorrect:** high initial inequality can weaken poverty elasticity.

Examiner trap 25: Trace the transmission channel, not only GDP.

MCQ 26

Relative pro-poor growth requires:

A. Only that GDP rises B. Poor people's welfare to improve faster than that of the non-poor C. Every household to receive equal income D. A lower poverty line

Answer: B.

Option-wise explanation:

- **A - Incorrect:** gains may bypass poor households.
- **B - Correct:** the relative distribution shifts toward the poor.
- **C - Incorrect:** equality is not required.
- **D - Incorrect:** changing the line is not growth.

Examiner trap 26: State whether pro-poor is absolute or relative.

MCQ 27

Predistribution primarily aims to:

A. Compensate only after market income is fixed B. Replace all taxes C. Shape earning power and market income before taxes and transfers D. Measure poverty using PPP

Answer: C.

Option-wise explanation:

- **A - Incorrect:** that describes redistribution alone.
- **B - Incorrect:** taxes remain part of fiscal policy.
- **C - Correct:** assets, education, health and institutions alter primary income.
- **D - Incorrect:** PPP is measurement.

Examiner trap 27: Public services can be both redistributive now and predistributive later.

MCQ 28

A complete fiscal-incidence analysis should examine:

A. Only direct cash transfers B. Only statutory tax rates C. Only budget allocations D. Taxes, transfers, subsidies and in-kind services across the distribution

Answer: D.

Option-wise explanation:

- **A - Incorrect:** cash is only one channel.
- **B - Incorrect:** effective burden can differ.

- **C - Incorrect:** allocation does not equal benefit.
- **D - Correct:** net incidence requires the whole package.

Examiner trap 28: Progressivity is an incidence result, not a programme label.

MCQ 29

Which sequence correctly represents a social-sector results chain?

A. Allocation -> release -> expenditure -> output -> quality -> outcome B. Outcome -> allocation -> tax -> survey C. Coverage -> GDP -> poverty line only D. Portal registration -> automatic capability

Answer: A.

Option-wise explanation:

- **A - Correct:** resources must become services and outcomes.
- **B - Incorrect:** the causal order is reversed and incomplete.
- **C - Incorrect:** this omits delivery and quality.
- **D - Incorrect:** registration is only an administrative output.

Examiner trap 29: Spending is not itself an outcome.

MCQ 30

An exclusion error occurs when:

A. An ineligible person receives a benefit B. An eligible person is denied or missed C. A universal service reaches everyone D. A benefit is adequate

Answer: B.

Option-wise explanation:

- **A - Incorrect:** that is inclusion error.
- **B - Correct:** eligible people are excluded.
- **C - Incorrect:** universal coverage is not an error by definition.
- **D - Incorrect:** adequacy is a separate criterion.

Examiner trap 30: Cleaning duplicates must not erase genuine claimants.

MCQ 31

Which statement about JAM and DBT is correct?

A. DBT is itself a poverty line B. Aadhaar failure legally ends every entitlement C. JAM is delivery infrastructure; exception handling remains necessary D. Cash transfer can replace every public service

Answer: C.

Option-wise explanation:

- **A - Incorrect:** DBT does not measure poverty.
- **B - Incorrect:** official instructions require alternatives.
- **C - Correct:** digital delivery needs inclusion safeguards.
- **D - Incorrect:** complex services require supply capacity.

Examiner trap 31: Efficiency and exclusion must be evaluated together.

MCQ 32

Which programme-design pairing is correct?

A. MGNREGA: 100 days for every urban individual B. NFSA: 35 kg per person for every PHH member C. PM-JAY: universal reimbursement of all outpatient expenses D. MGNREGA: at least 100 days per rural household; NFSA PHH: 5 kg per person monthly

Answer: D.

Option-wise explanation:

- **A - Incorrect:** MGNREGA is rural and household-based.
- **B - Incorrect:** PHH entitlement is 5 kg per person; 35 kg is per AAY household.
- **C - Incorrect:** PM-JAY covers specified hospitalisation, not every expense.
- **D - Correct:** both legal-design boundaries are preserved.

Examiner trap 32: Household and person units are common close-option traps.

PYQS AND ANSWER PRACTICE

OFFICIAL-PAPER DISCIPLINE

UPSC descriptive papers provide questions, not official model answers. The following stems are reproduced from locally held official papers or audited routing records; each solution is an original examiner-oriented model. The 2019 Prelims poverty-line-variation route is retained without an answer because a matched final official key is not held locally.

Year	Paper	Routed objective demand	Key status
2019	Prelims GS-I	Why official poverty lines differ across States	Final official key not held locally; no answer inferred

SOLVED MAINS PYQ 1 - 2019 GS-III, Question 11, 15 marks

Question: It is argued that the strategy of inclusive growth is intended to meet the objectives of inclusiveness and sustainability together. Comment on this statement. (Answer in 250 words)

Model answer:

Inclusive growth broadens productive opportunity, access to quality services and protection against shocks; sustainability preserves the ecological and fiscal bases of those gains. The two objectives reinforce each other when public investment creates jobs, health and education build capabilities, and clean infrastructure lowers future vulnerability. They conflict when growth relies on resource depletion, displacement or subsidies that are fiscally and environmentally costly. India's policy mix illustrates both sides: MGNREGA can stabilise rural incomes and create assets, NFSA protects minimum consumption, while human-capital spending supports mobility. Yet coverage without quality, delayed payments, groundwater-intensive incentives or exclusion from lists can weaken inclusion and sustainability. The strategy must therefore combine labour-intensive growth, progressive fiscal incidence, universal basic services, targeted lifecycle support, climate-resilient assets and participatory safeguards. Results should be judged through poverty depth, distribution, jobs, health, learning, ecological costs and fiscal durability rather than GDP or beneficiary counts alone. Inclusive growth is sustainable only when today's expansion enlarges capabilities without transferring disproportionate social, environmental or debt burdens to future generations.

Key discipline: This is an original model answer; UPSC does not publish an official descriptive model answer.

SOLVED MAINS PYQ 2 - 2020 GS-III, Question 1, 10 marks

Question: Explain intra-generational and inter-generational issues of equity from the perspective of inclusive growth and sustainable development. (Answer in 150 words)

Model answer:

Intra-generational equity concerns fair opportunities and burdens among people living today across income groups, regions, genders and social categories. Inter-generational equity asks whether current development preserves assets, fiscal capacity and environmental quality for future people. Inclusive growth advances the first through productive jobs, progressive fiscal incidence, quality health and education, and portable protection. Sustainable development adds the second by pricing depletion, investing in resilient infrastructure and avoiding debt or ecological damage that shifts costs forward. The objectives can conflict: cheap resource-intensive growth may raise current income while worsening future climate and health risks; excessive present austerity may protect accounts while denying today's poor basic capabilities. Policy must apply a dual test - distribution of present benefits and burdens, and the future value of natural, human, physical and fiscal assets. Equity therefore requires neither equal outcomes nor zero resource use, but fair capability expansion within durable ecological and fiscal limits.

Key discipline: This is an original model answer; UPSC does not publish an official descriptive model answer.

SOLVED MAINS PYQ 3 - 2022 GS-III, Question 2, 10 marks

Question: Is inclusive growth possible under market economy? State the significance of financial inclusion in achieving economic growth in India. (Answer in 150 words)

Model answer:

Inclusive growth is possible in a market economy, but markets alone do not guarantee equal opportunity, public goods or protection from shocks. Competition and entrepreneurship can create income, yet unequal assets, information and bargaining power can concentrate gains. Financial inclusion widens the ability to save securely, receive payments, insure risks and obtain suitable credit. Jan Dhan accounts, digital payments and regulated credit channels can lower transaction costs and connect households and firms to markets. However, account ownership is only access; dormant accounts, unsuitable debt, fraud and weak grievance redress can prevent productive use. The RBI Financial Inclusion Index therefore separates access, usage and quality. Inclusion must be complemented by jobs, literacy, consumer protection, public services and competition. Financial inclusion supports growth when it mobilises savings, finances viable enterprise and improves resilience; it becomes merely numerical when measured through opened accounts rather than sustained, safe and affordable use.

Key discipline: This is an original model answer; UPSC does not publish an official descriptive model answer.

SOLVED MAINS PYQ 4 - 2022 GS-III, Question 5, 10 marks

Question: The increase in life expectancy in the country has led to newer health challenges in the community. What are those challenges and what steps need to be taken to meet them? (Answer in 150 words)

Model answer:

Longer lives are a development gain, but they increase exposure to non-communicable disease, multimorbidity, disability, dementia, long-term care needs and catastrophic expenditure. Smaller families and migration can weaken informal care, while rural and poorer households face shortages of geriatric, rehabilitative and palliative services. Women often bear unpaid care burdens and may themselves lack pensions or insurance. India needs preventive primary care, regular screening, referral continuity, affordable medicines, trained geriatric and community workers, rehabilitation and home-based care. PM-JAY can protect eligible hospitalisation costs, but insurance cannot replace primary care, outpatient services or public health. Age-friendly transport, housing, social pensions and caregiver support must accompany health measures. Digital records should improve continuity without excluding people with weak connectivity. Success requires measuring healthy life expectancy, functional ability, out-of-pocket spending and service quality, not longevity alone.

Key discipline: This is an original model answer; UPSC does not publish an official descriptive model answer.

SOLVED MAINS PYQ 5 - 2024 GS-III, Question 1, 10 marks

Question: Examine the pattern and trend of public expenditure on social services in the post-reforms period in India. To what extent this has been in consonance with achieving the objective of inclusive growth? (Answer in 150 words)

Model answer:

Post-reform social-service expenditure has expanded in nominal terms and across health, education, nutrition, sanitation and protection, with greater use of centrally sponsored schemes and digital delivery. This supports inclusive growth by protecting consumption, building human capital and widening access to opportunity. Rights-based programmes such as MGNREGA and NFSA provide floors, while health and education spending can raise productivity and intergenerational mobility. Yet expenditure is not outcome. Inflation, population growth, Centre-State financing, vacancies, delayed releases, weak local capacity and unequal service quality mediate results. Insurance may protect hospitalisation without fixing primary care; enrolment may rise without learning. The correct test follows allocation to release, actual spending, service availability, quality and disaggregated household outcomes. Public expenditure has been broadly consonant with inclusion where it reduces deprivation and equalises capabilities, but its contribution remains uneven because composition, implementation and incidence matter as much as the aggregate outlay.

Key discipline: This is an original model answer; UPSC does not publish an official descriptive model answer.

SOLVED MAINS PYQ 6 - 2025 GS-II, 15 marks

Question: Inequality in the ownership pattern of resources is one of the major causes of poverty. Discuss in the context of 'paradox of poverty'. (Answer in 250 words)

Model answer:

The paradox of poverty is that poor households may live amid productive resources and growth yet remain unable to convert them into secure capabilities. Unequal ownership of land, housing, capital, technology and credentials shapes collateral, bargaining power, risk-bearing capacity and access to high-return opportunities. Those without assets accept low wages, costly credit and insecure work; shocks force distress sales or debt, reproducing poverty across generations. Caste, gender and regional exclusion can intensify this loop by restricting inheritance, mobility, networks and public services. Resource inequality is therefore both a cause and consequence of poverty. However, ownership is not the sole explanation. Job demand, market competition, health shocks, care burdens, education quality and state capacity also matter; small asset transfers without infrastructure or market access may not raise productivity. Policy should combine secure land and tenancy rights, women's ownership, affordable institutional credit, competition, quality health and education, portable social protection and labour-intensive growth. Redistribution must be paired with predistribution that builds earning power. Evaluation should track asset control, income, consumption, poverty depth, service quality and mobility. The paradox is resolved not by relief alone but by enabling poor households to command productive assets, institutions and capabilities on fair terms.

Key discipline: This is an original model answer; UPSC does not publish an official descriptive model answer.

ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish poverty incidence, depth and severity. Why should policy use all three? Answer in 150 words.

Model answer:

Poverty incidence is the share below a stated line. Depth is the average normalised shortfall, while severity squares that shortfall and gives greater weight to the poorest. Headcount therefore asks how many are poor; the gap asks how poor they are; the squared gap adds inequality among the poor. A transfer that raises consumption but leaves a household below the line changes depth and severity without changing headcount. Moving households just below the line above it can instead reduce headcount while bypassing the poorest. Policy should publish all three using the same welfare aggregate, prices, survey and year. Headcount guides coverage, gap estimates aggregate shortfall, and severity helps prioritise deep deprivation. None captures health, education or vulnerability, so monetary measures require multidimensional and shock evidence from surveys.

Native-body word count: 142 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why must India's domestic poverty-line debate be separated from World Bank international poverty estimates? Answer in 150 words.

Model answer:

Domestic poverty lines support national diagnosis using Indian consumption baskets, prices and survey methods. Tendulkar and Rangarajan, for example, produced different 2011-12 thresholds and headcounts. India has not notified a new monetary line making either a timeless current standard. World Bank lines instead support cross-country monitoring through purchasing power parity. In June 2025 they became USD 3.00, USD 4.20 and USD 8.30 daily at 2021 PPP. Applying the first two to India's 2022-23 distribution produced estimates of 5.3 and 23.9 per cent. These are World Bank estimates, not Indian eligibility rules in practice. A valid answer must state publisher, survey year, welfare aggregate, line and PPP or price vintage. Mixing domestic rupee lines with PPP dollars creates false trends and policy claims.

Native-body word count: 142 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain the growth-poverty-inequality triangle and derive an inclusive-growth strategy for India. Answer in 250 words.

Model answer:

Poverty reduction depends on both growth in average welfare and its distribution. Faster growth can raise jobs, wages and public revenue, but high initial inequality weakens the poverty response when assets, skills and market power concentrate gains. Inflation in essentials can also offset nominal income growth for poorer households. Inequality, in turn, shapes human capital, credit access, political voice and the capacity to withstand shocks, affecting future growth. India's strategy must therefore combine labour-absorbing structural transformation with predistribution and redistribution. Reliable infrastructure, competitive MSMEs, agriculture-to-non-farm mobility and care services can expand productive employment. Quality public health, nutrition and education equalise capability; land, housing, finance and digital access widen opportunity. Progressive, sustainable revenue should finance universal basics and targeted lifecycle support. MGNREGA can stabilise rural income, NFSA protects food access, and portable benefits reduce migration-related exclusion. Policy must also preserve macroeconomic and ecological stability. Evaluation should track poverty headcount, gap and severity, consumption and wealth distribution, real earnings, service quality and mobility. Growth is inclusive not because every outcome is equal, but because poor and excluded groups gain durable capability, voice and resilience.

Native-body word count: 197 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 4 - 15 MARKS

Question: Why can higher social-sector expenditure fail to produce proportionate outcomes? Suggest an evaluation framework. Answer in 250 words.

Model answer:

Social expenditure affects welfare through a chain: allocation, release, actual spending, service capacity, access, quality, use and outcome. Leakage at any link weakens results. Funds may arrive late, finance buildings without staff, or be distributed by population rather than need. Remote areas face higher delivery costs; discrimination, care burdens and weak information can depress take-up. Insurance may cover hospitalisation while outpatient costs persist, and school enrolment may rise without learning. Higher nominal spending can also reflect inflation or demographic pressure rather than improved real provision. Evaluation should begin with adequacy and budget execution, then measure facilities, workers, medicines, teaching time and geographic access. It should identify exclusion and inclusion errors, benefit incidence across income and social groups, portability for migrants, grievance resolution and household out-of-pocket costs. Outcomes must be disaggregated by state, district, gender, caste, tribe,

disability and rural-urban location. Counterfactual or phased comparisons can improve causal inference. The objective is not minimum expenditure alone but progressive, reliable and high-quality capability formation within fiscal limits.

Native-body word count: 180 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 5 - 20 MARKS

Question: Evaluate targeting, universalism and self-selection in India's social-protection architecture, including JAM-DBT. Answer in 250 words.

Model answer:

Targeting concentrates scarce resources on eligible households but depends on accurate, current information. Means tests and categorical lists can reduce fiscal cost and inclusion error, yet unstable income, migration, documentation gaps and stale databases exclude genuine claimants. Universal provision reduces stigma and identification error and builds political support, but may spend heavily on people who need less assistance. Self-selection, as in demand for manual work under MGNREGA, can reveal need without a detailed income test, though access still depends on awareness and administration. India appropriately mixes designs: broad public health and schooling, NFSA's identified food entitlements, NSAP's categorical assistance, PM-JAY eligibility and MGNREGA self-selection. JAM and DBT can reduce duplicate records and payment friction, but they are delivery infrastructure, not proof of adequacy or outcome. Authentication failure, account problems and connectivity require offline alternatives, correction and grievance redress. A sound architecture uses universal basic services, targeted or categorical income support where justified, dynamic registries, portability and transparent appeals. Performance should be judged by coverage, exclusion, incidence, timeliness, adequacy, quality and fiscal sustainability.

Native-body word count: 187 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 6 - 20 MARKS

Question: Design an inclusive-growth and social-protection framework that addresses chronic poverty, shocks and unequal opportunity. Answer in 250 words.

Model answer:

An effective framework needs three layers. First, predistribution must expand earning capability through nutrition, foundational learning, health, skills, productive infrastructure, competitive markets and fair access to land, finance and technology. Labour-intensive manufacturing, services and rural diversification connect growth to household income. Second, redistribution should establish minimum consumption and capability floors through progressive revenue, quality universal health and education, NFSA food entitlements, scholarships and adequate lifecycle assistance. MGNREGA provides demand-based rural work, while PM-JAY protects specified hospitalisation risks; neither substitutes for productive jobs or comprehensive services. Third, risk protection should prevent illness, climate events, unemployment and old age from creating chronic poverty. Portable benefits, contributory insurance where feasible, emergency cash or food support and scalable delivery rails are needed. JAM-DBT can improve payments, but exception handling, privacy and accessible grievance systems must prevent digital exclusion. Federal finance should recognise unequal state capacity and local delivery costs. Evaluation must track headcount, poverty gap, vulnerability, consumption and wealth inequality, employment quality, service outcomes, mobility and beneficiary experience. The objective is not permanent dependence but durable capability, agency and resilience within fiscal and ecological limits.

Native-body word count: 196 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.